

ICICI Bank Limited

Earnings conference call - Quarter ended June 30, 2026 (Q1-2027)

July 18, 2026

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Moderator:

Ladies and gentlemen, good day, and welcome to ICICI Bank Limited Q1-FY2027 Earnings Conference Call. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touch-tone phone. Please note that this conference is being recorded. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sandeep Bakhshi, Managing Director and Chief Executive Officer of ICICI Bank. Thank you, and over to you, sir.

Mr. Bakhshi's opening remarks

Thank you. Good evening to all of you and welcome to the ICICI Bank Earnings Call to discuss the results for Q1 of FY2027. Joining us today on this call are Sandeep Batra, Rakesh, Ajay, Anindya and Abhinek.

At ICICI Bank, our strategic focus continues to be on growing profit before tax excluding treasury through the 360-degree customer centric approach and by serving opportunities across ecosystems and micro-markets.

The profit before tax excluding treasury grew by 20.9% year-on-year to 189.75 billion Rupees in this quarter. The core operating profit increased by 15.6% year-on-year to 202.35 billion Rupees in this quarter. The core operating profit excluding dividend from subsidiaries increased by 18.3% year-on-year to 191.25

billion Rupees in this quarter. The profit after tax grew by 15.9% year-on-year to 148.05 billion Rupees in this quarter.

Total deposits grew by 14.0% year-on-year and 2.2% sequentially at June 30, 2026. Average deposits grew by 14.0% year-on-year and 6.1% sequentially and average current and savings account deposits grew by 12.1% year-on-year and 4.7% sequentially during this quarter. The Bank's average liquidity coverage ratio for the quarter was about 124%.

The overall loan portfolio including the international branches portfolio grew by 19.6% year-on-year and 5.0% sequentially at June 30, 2026. The retail loan portfolio grew by 12.0% year-on-year and 2.7% sequentially. Including non-fund based outstanding, the retail portfolio was 41.1% of the total portfolio. The rural portfolio, including gold loan grew by 35.4% year-on-year and 6.2% sequentially. The business banking portfolio grew by 28.2% year-on-year and 6.9% sequentially. The domestic corporate portfolio grew by 18.5% year-on-year and 6.9% sequentially. The domestic loan portfolio grew by 18.8% year-on-year and 4.6% sequentially at June 30, 2026. The overseas loan portfolio was 3.1% of the overall loan book at June 30, 2026.

The net NPA ratio was 0.35% at June 30, 2026 compared to 0.33% at March 31, 2026 and 0.41% at June 30, 2025. During the quarter, there were net additions of 27.07 billion Rupees to gross NPAs, excluding write-offs and sale. The total provisions during the quarter were 12.60 billion Rupees or 6.2% of core operating profit and 0.32% of average advances. The provisioning coverage ratio on non-performing loans was 74.7% at June 30, 2026. In addition, the Bank continues to hold contingency provisions of 131.00 billion Rupees or about 0.8% of total advances at June 30, 2026.

The capital position of the Bank continued to be strong with a CET-1 ratio of 16.19% and total capital adequacy ratio of 16.84% at June 30, 2026.

Looking ahead, we see many opportunities to drive risk calibrated profitable growth and grow market share across key segments. We remain focused on maintaining a strong balance sheet, prudent provisioning and healthy levels of capital while delivering sustainable and predictable returns to our shareholders.

I now hand the call over to Anindya.

Anindya's opening remarks

Thank you, Sandeep. I will talk about loan growth, credit quality, P&L details, and the performance of subsidiaries.

A. Loan growth

Sandeep covered the loan growth across various segments. Coming to the growth across retail products, the mortgage portfolio grew by 14.6% year-on-year and 3.2% sequentially. Auto loans grew by 3.6% year-on-year and 1.2% sequentially. The commercial vehicles and equipment portfolio grew by 12.8% year-on-year and 2.2% sequentially. Personal loans grew by 12.9% year-on-year and 4.0% sequentially. The credit card portfolio declined by 1.9% year-on-year and 1.7% sequentially.

Within the corporate portfolio:

- The total outstanding to NBFCs and HFCs was 920.52 billion Rupees at June 30, 2026 compared to 859.04 billion Rupees at March 31, 2026. The total outstanding loans to NBFCs and HFCs were about 4.5% of our advances at June 30, 2026.
- The builder portfolio including construction finance, lease rental discounting, term loans and working capital was 747.21 billion Rupees at June 30, 2026 compared to 714.21 billion Rupees at March 31, 2026. The builder loan portfolio was 4.3% of our total loan portfolio. Our portfolio largely comprises well-established builders and this is also reflected in the sequential increase in the portfolio. About 0.7% of the builder portfolio at June 30, 2026 was either rated BB and below internally or was classified as non-performing.

B. Credit quality

The gross NPA additions were 55.52 billion Rupees in the current quarter compared to 62.45 billion Rupees in Q1 of last year. There were gross NPA additions of 7.06 billion Rupees from the kisan credit card portfolio in the current quarter. We typically see higher NPA additions from the kisan credit card portfolio in the first and third quarter of a fiscal year. Recoveries and upgrades from gross NPAs, excluding write-offs and sale, were 28.45 billion Rupees in the current quarter compared to 32.11 billion Rupees in Q1 of last year. The net additions to gross NPAs were 27.07 billion Rupees in the current quarter compared to 30.34 billion Rupees in Q1 of last year.

The gross NPA additions from the retail and rural portfolios were 43.31 billion Rupees in the current quarter compared to 51.93 billion Rupees in Q1 of last year. These include the KCC NPAs mentioned earlier. Recoveries and upgrades from the retail and rural portfolios were 22.10 billion Rupees in the current quarter compared to 25.25 billion Rupees in Q1 of last year. The net additions to gross NPAs in the retail and rural portfolios were 21.21 billion Rupees in the current quarter compared to 26.68 billion Rupees in Q1 of last year.

The gross NPA additions from the corporate and business banking portfolios were 12.21 billion Rupees in the current quarter compared to 10.52 billion Rupees in Q1 of last year. Recoveries and upgrades from the corporate and business banking portfolios were 6.35 billion Rupees in the current quarter compared to 6.86 billion Rupees in Q1 of last year. There were net additions to gross NPAs of 5.86 billion Rupees in the current quarter in the corporate and business banking portfolios compared to 3.66 billion Rupees in Q1 of last year.

The gross NPAs written-off during the quarter were 16.73 billion Rupees. Further, there was sale of NPAs of 2.39 billion Rupees for cash in the current quarter.

The non-fund based outstanding to borrowers classified as non-performing was 22.07 billion Rupees as of June 30, 2026 as compared to 21.74 billion Rupees as of March 31, 2026 and 32.98 billion Rupees as of June 30, 2025.

The loans and non-fund based outstanding to performing corporate borrowers rated BB and below was 34.85 billion Rupees at June 30, 2026 as compared to 35.19 billion Rupees at March 31, 2026 and 29.95 billion Rupees at June 30, 2025. This portfolio was about 0.2% of our advances at June 30, 2026.

The total fund based outstanding to all standard borrowers under resolution as per various guidelines declined to 13.63 billion Rupees at June 30, 2026 from 14.96 billion Rupees at March 31, 2026 and 17.88 billion Rupees at June 30, 2025.

At the end of June, the total provisions, other than specific provisions on fund-based outstanding to borrowers classified as non-performing, were 229.63 billion Rupees or 1.4% of loans. This includes the contingency provisions of 131.00 billion Rupees as well as general provision on standard assets, provisions held for non-fund based outstanding to borrowers classified as non-performing, fund and non-fund based outstanding to standard borrowers under resolution and BB and below portfolio. The Bank also continues to hold additional standard asset provision of 12.83 billion Rupees made in Q3 of FY2026 as directed by RBI in respect of the agricultural priority sector portfolio.

Moving on to the P&L details:

C. P&L details

Net interest income increased by 12.7% year-on-year and 6.1% sequentially to 243.84 billion Rupees in this quarter. The net interest margin was 4.36% in this

quarter compared to 4.32% in the previous quarter and 4.34% in Q1 of last year. The cost of deposits was 4.41% in this quarter compared to 4.43% in the previous quarter and 4.85% in Q1 of last year. The benefit of interest on tax refund was 8 basis points in the current quarter compared to 5 basis points in the previous quarter and 7 basis points in Q1 of last year. Excluding the benefit of interest on tax refund, the net interest margin would have been 4.28% in this quarter, 4.27% in previous quarter and 4.27% in Q1 of last year.

Of the total domestic loans, interest rates on about 57% of the loans are linked to the repo rate and other external benchmarks, 13% to MCLR and other older benchmarks and the remaining 30% of loans have fixed interest rates.

Non-interest income, excluding treasury, grew by 16.0% year-on-year to 84.25 billion Rupees in Q1 of FY2027.

- Fee income increased by 23.5% year-on-year to 72.86 billion Rupees in this quarter off a low base of Q1 of last year. Fees from retail, rural and business banking customers constituted about 72% of the total fees in this quarter.
- Dividend income from subsidiaries was 11.10 billion Rupees in this quarter compared to 13.36 billion Rupees in Q1 of last year.

On Costs: The Bank's operating expenses increased by 10.4% year-on-year in this quarter compared to 11.5% year-on-year in FY2026. Employee expenses increased by 5.5% year-on-year in this quarter, reflecting mainly the impact of annual increments and promotions that take place during the first quarter of every fiscal year. Non-employee expenses increased by 13.8% year-on-year in this quarter. Our branch count has increased by 97 in the first quarter. We had 7,608 branches as of June 30, 2026. The technology expenses were about 11.4% of our operating expenses in this quarter.

The total provisions during the quarter were 12.60 billion Rupees or 6.2% of core operating profit and 0.32% of average advances compared to the provisions of 18.15 billion rupees in Q1 of last year.

The profit before tax excluding treasury grew by 20.9% year-on-year to 189.75 billion Rupees in Q1 of this year.

There was a treasury gain of 1.51 billion Rupees in this quarter as compared to loss of 1.06 billion Rupees in the previous quarter and a gain of 12.41 billion Rupees in Q1 of last year.

The tax expense was 43.21 billion Rupees in this quarter compared to 41.63 billion Rupees in the corresponding quarter last year. The Bank has written back tax provision of 4.46 billion Rupees, pursuant to favourable tax orders.

The profit after tax grew by 15.9% year-on-year to 148.05 billion Rupees in this quarter.

D. Consolidated results

The consolidated profit after tax grew by 13.9% year-on-year to 154.40 billion Rupees in this quarter.

The details of the financial performance of key subsidiaries are covered in slides 33 to 35 and 54 to 59 in the investor presentation.

The annualised premium equivalent of ICICI Life increased to 21.36 billion Rupees in Q1-2027 from 18.64 billion Rupees in Q1-2026. The value of new business increased to 5.71 billion Rupees in Q1-2027 from 4.57 billion Rupees in Q1-2026. The value of new business margin was 26.7% in Q1-2027 compared to 24.7% in

FY2026. The profit after tax of ICICI Life increased to 3.86 billion Rupees in Q1-2027 from 3.02 billion Rupees in Q1-2026.

Gross Direct Premium Income of ICICI General increased to 83.18 billion Rupees in Q1-2027 from 77.35 billion Rupees in Q1-2026. The combined ratio stood at 107.2% in Q1-2027 compared to 102.9% in Q1-2026. The profit after tax was 4.03 billion Rupees in Q1-2027 compared to 7.47 billion Rupees in Q1-2026. The results for the quarter include the impact of an increase in reserves pursuant to a recent judicial pronouncement.

The profit after tax of ICICI AMC, as per Ind AS, increased to 9.65 billion Rupees in this quarter from 7.84 billion Rupees in Q1 of last year.

The profit after tax of ICICI Securities, as per Ind AS on a consolidated basis, was 4.19 billion Rupees in this quarter compared to 3.91 billion Rupees in Q1 of last year.

ICICI Bank Canada had a profit after tax of 5.3 million Canadian dollars in this quarter compared to 7.8 million Canadian dollars in Q1 of last year.

ICICI Bank UK had a profit after tax of 7.2 million US dollars in this quarter compared to 5.9 million US dollars in Q1 of last year.

As per Ind AS, ICICI Home Finance had a profit after tax of 2.00 billion Rupees in the current quarter compared to 2.14 billion Rupees in Q1 of last year.

With this, we conclude our opening remarks, and we will now be happy to take your questions.

Moderator:

We'll take our first question from the line of Mahrukh Adajania from Tara Capital. Please go ahead.

Mahrukh Adajania:

Congratulations. I had a question on your loan growth outlook, given that you already achieved such good loan growth in a seasonally weak quarter. Do you find this sustaining, say, a high-teen loan growth through the year? Is there enough visible demand across your segments? So that's my first question.

And then on FCNR (B), if you have a target in mind and how much you've already mobilized? And what is the cost effectiveness of FCNR (B) relative to your domestic term deposits?

And also, just one more question. The foreign loans, they've grown quite aggressively this quarter. So, any comments on that?

Anindya Banerjee:

Yes. So, on the first one, I think it's partly really reflective of what has happened in the system where loan growth has picked up over the last 2-3 quarters as the various policy measures, both on the fiscal side and the monetary side have taken effect. And I think not just loan growth, but a range of other high-frequency indicators are showing positive momentum. We are sort of participating in that, and we will keep looking at opportunities as they come. And the momentum continues to be pretty good as far as we can see it.

On the second question on FCNR (B), we don't really have any target or so on that we put out. I think it's a good scheme, and we will look to mobilize as much as we can, but it is very early days yet. This is something that will really play out over the next maybe 8 -10 weeks or so. So, nothing that can be said on that just now.

From a cost effectiveness perspective, 6%. If you look at kind of the all-in cost after hedging the coupon, etc., it will be somewhere maybe 6.30-6.40%, which is, of course, lower than wholesale rates and it will be competitive compared to the wholesale rates. Of course, there will be an incremental loan growth opportunity also as these funds start getting deployed.

Lastly, on the international branches growth, even if you look at the previous quarter, we had a decent momentum. We have been seen both increase in the trade-related book as well as some borrowing by the overseas operations of Indian well-rated companies, and we have been participating in that. As we go forward, there will be some amount of loans against FCNR deposits that will also keep adding to the loan book overseas.

Moderator:

Thank you. Next question is from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah:

So firstly, just a clarification on the NIMs. The overall yields have held on steady despite the reversals on agri. So, was there any offsetting recoveries also during the quarter, which has helped that in terms of sustaining the yields?

Anindya Banerjee:

That's something that keeps happening on an ongoing basis. Overall, the NIM reflects the healthy funding franchise, our disciplined approach consistently on both deposit and loan pricing as well as our management of the government securities book. That is what really held the NIM up. And as for other factors, there is always some amount of collection less or more in each quarter. There was interest on income tax refund, which we have as always specifically called out.

But even if adjusting for that, the NIM is stable both on a year-on-year and on a quarter-on-quarter basis.

Kunal Shah:

Yes. So, question was more on yield because the growth is also coming in from the corporate and all, okay? So, to that extent, yields are still sustained. So that was the question. And secondly, on the agri, so now maybe larger part of the regularization, we have been working all through and would have been interacting with the regulator as well. So how is the approach? And when do we see the recoveries coming through or maybe the reversals of the provision? Is it expected to come through in the second quarter or maybe it might take some time and we should see it more towards the end of the fiscal year?

Anindya Banerjee:

I wouldn't really be able to comment on the timing. But yes, we have been working on the required remediation of the portfolio. We just want to make sure that whatever we have done is correct and signed off and validated before we discuss a write-back of the provision. So, we are in the process and will hopefully work it out over the next few months, but I don't want to give a timeline.

Kunal Shah:

Okay. So that process is already on in terms of the validation and getting the sign-off on?

Anindya Banerjee:

Yes, very much so. It's a granular portfolio. We want to make sure that we are getting it right, and then we want to get it appropriately validated, the work that the field teams have done, and that process is on.

Moderator:

Thank you. Next question is from the line of Rikin Shah from IIFL Capital. Please go ahead.

Rikin Shah:

Thanks for the opportunity. I had five questions. First one is on fee income. It has accelerated significantly from 8% Y-o-Y last year to 23% Y-o-Y this quarter. If you could just throw some colour on what is driving this? And should one expect it to remain closer to the overall balance sheet growth here onwards?

Anindya Banerjee:

So, as I briefly mentioned in our opening remarks, there is some amount of a base effect. Last year, the absolute fee income in Q1 was sequentially lower over the preceding quarters, so there is some amount of base effect as well.

And I think other than that, it really reflects the underlying business momentum. We've seen growth pick up across all business segments, retail and corporate, while business banking has sustained. We would continue to focus on the fee income line item as we go forward.

Rikin Shah:

Got it. The second question on margins, you've managed it extremely well in this cycle and now with loan growth accelerating meaningfully for you, would you continue to maintain your guidance on range-bound margins even going ahead?

Anindya Banerjee:

There are a lot of moving parts to it because it really depends to some extent on systemic liquidity and interest rates where, for example, in the month of May, we had seen a lot of hardening of wholesale rates. That has come off substantially. Based on current conditions and assuming no policy rate movements, I would say it should be range bound.

As we go along, we'll also have to factor in sort of the impact of the FCNR deposit mobilization and the related leverage where there could be some impact on margins, but that is something that will happen over a period of time. In any case, the program itself has significant advantages. So that's something we'll see. But other things being equal, I would still say range bound.

Rikin Shah:

That exactly was my third question. So, could you talk a bit more about potential NIM and profitability profile for FCNR raised via self-leverage and versus via tie-ups with the foreign banks? Is it materially different in terms of the implications on margins and profitability?

Anindya Banerjee:

I think we have just about started that whole process. We'll have to wait and see. It will be a combination of unleveraged deposits, the deposits where we are providing leverage and there may be some fund-raising requirement at our end as well. And there will be other banks providing leverage for deposits into us.

As I said, the best guess we have now is that there could be some impact on the NIM, particularly because, as I mentioned in response to Mahrukh's question, the balance sheet of the international branches will expand materially if we indeed are able to mobilize a significant amount. So that will happen and we'll see it as it comes. But from an earnings perspective, it is quite positive.

Rikin Shah:

Got it. The fourth one is on recoveries. Was there any one-off recovery in this quarter from any accounts?

Anindya Banerjee:

Most of you would all be aware that in one particular case, there was an NCLT judgment, where the company was taken over. So that recovery did come through this quarter. This is an asset that had been previously sold to NARCL.

And then there are some other things in the regular course, but from a credit cost perspective, the reported of 32 basis points, and as we always say, a more normalised level, adjusting for chunky recoveries would be around 50 bps, and that is where it stays.

Rikin Shah:

Got it. Thanks. The last question is on ECL. If you could just talk about the impact on transition from next year, both on onetime basis on net worth and on the recurring credit cost, please?

Anindya Banerjee:

On the net worth, we will not really have any impact. Our assessment based on whatever proforma estimates we have done based on the existing position of the balance sheet or the portfolio is that whatever impact is there will be well absorbed by our provisioning buffers. Of course, it always depends on what is the situation of the portfolio at that point in time.

On an ongoing basis, the fact that we will be providing for Stage 2 will obviously, that is a provision that is currently not made by any bank. So that will result in higher provisions, which will be partly offset by lower provisions on the Stage 3, where currently we follow this percentage-based approach and there it will be much more on a predicted loss kind of approach.

Rikin Shah:

Proforma estimate that you may want to call out, like is it 5 bps, 10 bps or meaningfully higher?

Anindya Banerjee:

No, very difficult to make that estimate because we then actually have to run it based on the new ECL guidelines. We have some assessment of the transition impact. The ongoing impact is something that will come, but it will be a uniform impact across the sector adjusted for portfolio composition.

Rikin Shah:

Right. Thanks, Anindya, and congrats on a very strong quarter.

Anindya Banerjee:

Thank you very much.

Moderator:

Thank you. Next question is from the line of Chintan from Autonomous Research. Please go ahead.

Chintan:

Hi. Thank you for taking my question. We have seen some very strong loan growth, particularly business banking. I'm just wondering, is this the right time to accelerate given we are going through the energy shock and El Niño is upon us.

We are coasting a little bit on the kind of macro tailwinds from last year. But I'm just wondering how you think about the growth opportunity and the evolving environment over the next kind of year or two?

Anindya Banerjee:

We are monitoring this portfolio very closely and factoring in some of these West Asia, etcetera, into our customer selection and onboarding. But fundamentally, we feel quite comfortable with the portfolio and growing it.

The NPL performance is also pretty good and stable. And we will keep adjusting it as we go along. But it is a granular portfolio, reasonably secured portfolio, and we are quite comfortable growing it.

Chintan:

Are you leaning on these credit guarantee funds, like are you leaning on these government schemes to help you grow better or there is no need?

Anindya Banerjee:

When applications come under that, we are assessing and going ahead, I mean, it is a scheme that has been created for the benefit of the customers. We are quite open to it. But we are also adding new customers and growing with existing customers in line with their business.

Chintan:

Okay. What would the average loan growth be on a year-on-year basis? I'm just wondering if there's any lumpiness that will run off in this 19.6% number?

Anindya Banerjee:

Average loan growth on a year-on-year basis will be somewhat lower, but as I mentioned earlier, higher loan growth this quarter is reflective of the increase in loan growth in the system and both the banks and the system is off the base of Q1 of last year. So, there could be some base effect, but incremental momentum continues to be pretty strong.

Chintan:

Okay. Thanks. And the final question is just on competitive dynamics. Have you seen any easing off of competitive dynamics from the PSU banks? Or does it

remain intense as ever? They've used up their LCR and LDR buffer substantially. Just wondering if there's been any change in recent months?

Anindya Banerjee:

The way we look at it is what is our existing market share and what is the franchise capable of delivering. Our belief is that our franchise should deliver more. And there is always some set of competition that you have to deal with.

But I think there is enough business for us to do within our frameworks, and we keep calibrating based on sort of the interest rate environment and the competitive environment. We will keep looking at that as we go along, but that is not sort of something that is holding us back currently.

Chintan:

I appreciate looking at yourself and not at others. But the asset pricing kind of gets impacted by those things, right? That's why I was asking that question. So, are you seeing asset pricing improve?

Anindya Banerjee:

It's a large market and there is enough for us to do. We are, for example, some of the rates that get quoted, we are not doing that kind of business, but there is enough other business where we are comfortable with risk-adjusted returns on a customer basis, which we do.

Chintan:

Okay. Thank you so much.

Moderator:

Thank you. Next question is from the line of Abhishek Murarka from HSBC. Please go ahead.

Abhishek Murarka:

Good evening and congratulations for the strong quarter. I just wanted to go back to the fee income question. And you mentioned that it is largely disbursement linked and disbursements have gone up.

But if I just look at the overall growth of 23%, assuming card fees is also a chunk of your fee and card balances are lower. Is the rest of it just disbursement linked? Or is there any other fee line item that has picked up significantly? So that's my first question.

Anindya Banerjee:

No. I did not say that it is disbursement linked. I just said that overall business volumes and business growth has gone up. So that will partly reflect in it, particularly the increase, for example, on the corporate side, continued growth on the business banking side and the pickup in retail. Our fee income has a range of components, cards, as you mentioned, the loan processing fees, transaction banking and trade, forex and derivatives. There is all those elements, the deposit-linked fees, all those have seen a growth. And at different times, there may be more opportunity in one segment than the other, which we have to keep making sure that we are there across the opportunity spectrum within our kind of risk framework, which is what we do. And also, as I said, there is some base effect last year because last year, the Q1 was indeed not a good quarter from a fee perspective.

Abhishek Murarka:

Right.

Anindya Banerjee:

If you look at it sequentially, the increase in the fee line June quarter over March quarter is about Rs. 5 billion or so.

Abhishek Murarka:

Yes. Because sequential seasonality would be there, but I'm just trying to wonder in these 5 or 6 buckets that you have highlighted, which are the ones where you see significant opportunity or pickup right now? Are there any 1 or 2 buckets which are contributing a lot right now just because of the market?

Anindya Banerjee:

Opportunity is there across the board. As you said, maybe cards is one area where fee growth is less than what we would want it to be, although at a PBT level, the business has done very well because of the reduction in credit costs. But there is opportunity across the board.

Abhishek Murarka:

Right. Okay. And I wanted to check on cards and PL. How we've been saying that overall, we are comfortable with the environment, but growth has not picked up a whole lot, right?

So, in cards, you were also trying to sort of clean up the portfolio a bit, if I remember correctly. So, can you give an update on how you see the growth in these 2 businesses, let's say, from a next 12-15 months perspective?

Anindya Banerjee:

PL has picked up quite a bit actually, 12% year-on-year and 4% sequential growth. I think it's after a long time that we are seeing those kinds of numbers. Cards, the revolver rates are lower. So that is impacting the book growth. But we'll see how to optimize that as we go along.

Abhishek Murarka:

PL, the growth is sustainable, 4% Q-o-Q kind of run rate?

Anindya Banerjee:

I don't want to really give an outlook per se. We had gone down to a declining portfolio from that, we are at 4% sequential growth. I don't see anything today that will reduce growth, but we will take it as it comes.

Abhishek Murarka:

Got it. And just finally, on ECLGS, how is the offtake? How much disbursements have you done? Can you just give some sort of an update on what kind of uptake you're seeing on that product?

Anindya Banerjee:

No, I think I answered that. We are getting some inquiries, and we are doing some of that. It's part of the increase in the business banking book. So that is something that has been done for the benefit of the customer and wherever it is appropriate, we are doing it.

Abhishek Murarka:

Okay. Alright. Thank you and all the best.

Moderator:

Thank you. Next question is from the line of M.B. Mahesh from Kotak Securities. Please go ahead.

M.B. Mahesh:

Anindya, just a couple of questions. First is on this corporate loans. This recovery in growth that we are seeing in your bank and also in some of the other banks as well. If you could just kind of give us some colour as to how much of it is a

demand-led growth that one is seeing because of capex versus probably a credit substitution or a short-term working capital demand that has come through?

Anindya Banerjee:

See, the corporates were always doing what they were doing. They are doing capex to the extent that they were doing capex. But certainly, bond markets this quarter have not favoured the corporate sector. If you see, we have a reasonable increase in our NBFC portfolio as well.

So, part of it is a shift from bond markets, part of it is working capital utilization, part of it may be corporates taking on some borrowings and just maintaining some liquidity buffers as they also want to be sort of have greater resilience in this uncertain environment. And to the extent that they are investing or were investing, that also continues, maybe the source of financing has shifted a little.

M.B. Mahesh:

But you don't see any meaningful increase in, let's say, loan proposals relating to fresh capex over what you've seen earlier? Would that be fair?

Anindya Banerjee:

I'm hesitant to make a comment which can get extrapolated at a system level. We are dealing with our customer base and catering to their needs. The customers are doing a range of things, and they were doing and are doing capex and new investments as well. But obviously, in addition to that, some shift in funding mix is also there. And this quarter, in particular, we saw a healthy pipeline at reasonable rates. So that is what has led to this growth.

M.B. Mahesh:

Perfect. Second question, this pertains to retail side. I know you've done well on loan growth on that part of the market. If you can just kind of comment on this

entire IT corridor, both on the asset side as well as on the liability side. How is the demand for retail assets? And have you seen any change on the liability side? Thank you.

Anindya Banerjee:

No, we have not seen any change actually. In terms of inflows into the savings, etc., they are quite stable. We've not seen any change. And as you can see, the performance of the retail portfolio has only improved. In fact, additions have come off and in particular, if you look at it on a year-on-year basis, unsecured additions have come off. I think things are quite stable from that perspective.

M.B. Mahesh:

Okay done. Thank you.

Moderator:

Thank you. Ladies and gentlemen, we'll take that as the last question for today. I would now like to hand the conference back to management for closing comments. Over to you, sir.

Anindya Banerjee:

Thank you very much for making time for the call, and we'll take any other questions that you have as we interact going forward. Thank you.

Moderator:

Thank you. On behalf of ICICI Bank, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.